



Market Monitor

No.14 – December 2013

www.amis-outlook.org

*The **Market Monitor** is a product of the [Agricultural Market Information System \(AMIS\)](#). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Ultimately, the report aims at improving market transparency and detecting emerging problems that might warrant the attention of policy makers.*

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WORLD TRADE
ORGANIZATION

World Supply-Demand Outlook

Firmer estimates for crops harvested in northern hemisphere confirm earlier expectation of large production gains and a general improvement in the world supply situation in 2013/14. While early prospects for 2014 wheat crops are favourable, weather developments will be critical not only for wheat but also for southern hemisphere rice and soybean crops being planted. In the Philippines, the recent landfall of typhoon Huiyan had only limited impacts on the main rice crop, as most had been harvested.

	From previous month f'cast	From previous season
Wheat	▲	▲
Maize	▲	▲
Rice	■	▲
Soybeans	▲	▲
	▲ Easing ■ Neutral ▼ Tightening	

	USDA		IGC		FAO-AMIS		
	2012/13	2013/14	2012/13	2013/14	2012/13	2013/14	
	est.	f'cast	est.	f'cast	est.	f'cast	
		8-Nov		28-Nov		7-Nov	5-Dec
WHEAT							
Production	655	706	655	698	660	708	711
Supply	855	882	848	873	840	865	869
Utilization	679	703	673	692	684	696	695
Trade	138	154	141	142	140	142	142
Ending Stocks	176	178	175	181	158	167	172

- **Wheat** production forecast for 2013 raised further, mainly on bigger crops in Russia.
- Utilization for 2013/14 lowered slightly, mostly on expectation of higher use of coarse grains to replace wheat for feed.
- Trade to expand by 1.6% from 2012/13, driven by stronger demand in Asia and, to a lesser extent, also in North Africa.
- Stocks (ending in 2014) higher than forecast in November on larger inventories in several CIS countries, particularly Russia.

	USDA		IGC		FAO-AMIS		
	2012/13	2013/14	2012/13	2013/14	2012/13	2013/14	
	est.	f'cast	est.	f'cast	est.	f'cast	
		8-Nov		28-Nov		7-Nov	5-Dec
MAIZE							
Production	863	963	863	950	875	994	1001
Supply	995	1098	993	1079	1011	1123	1135
Utilization	860	933	864	922	880	937	941
Trade	91	110	96	106	101	103	106
Ending Stocks	135	164	129	157	134	177	180

- **Maize** production to expand by 14% in 2013 on strong recovery in the US and larger crops in China and Ukraine.
- Utilization in 2013/14 higher than anticipated in November on larger feed usage.
- Trade forecast for 2013/14 raised 3 million tonnes, largely on higher anticipated exports from Ukraine.
- Stocks (ending in 2014) to increase by 35% (or 46 million tonnes) from their low opening levels, reflecting higher inventories in the US (up 27 million tonnes) as well as in Brazil, China and the EU.

	USDA		IGC		FAO-AMIS		
	2012/13	2013/14	2012/13	2013/14	2012/13	2013/14	
	est.	f'cast	est.	f'cast	est.	f'cast	
		8-Nov		28-Nov		7-Nov	5-Dec
RICE							
Production	469	473	469	471	489	494	494
Supply	573	580	576	580	650	669	669
Utilization	467	473	467	471	476	489	489
Trade	39	39	37	38	38	37	38
Ending Stocks	106	107	109	108	174	180	179

- **Rice** production in 2013 raised on more optimistic prospects for Indonesia, Nigeria and the United States.
- Utilization to increase by 2.6% in 2013/14, sustained by a widening of subsidized distribution schemes in Asia.
- Trade in 2014 heightened on larger imports by China, Indonesia and the Philippines and now forecast to match the 2012 record.
- Stocks ending in 2014 scaled down, but still expected 2.6% higher than in 2013.

	USDA		IGC		FAO-AMIS		
	2012/13	2013/14	2012/13	2013/14	2012/13	2013/14	
	est.	f'cast	est.	f'cast	est.	f'cast	
		8-Nov		28-Nov		7-Nov	5-Dec
SOYBEANS							
Production	268	284	271	285	268	282	286
Supply	323	344	294	311	295	308	313
Utilization	258	270	268	282	268	277	281
Trade	100	108	97	107	100	108	110
Ending Stocks	60	70	26	29	27	31	33

- **Soybeans** 2013/14 production forecast raised by 4.6 million tonnes, with upward revisions for the US and Argentina more than offsetting lower estimates for India and China.
- Utilization set to rise by about 5% in 2013/14, mainly driven by Asia and South America.
- Trade forecast raised to new record on higher exports for the US.
- Stocks forecast (2013/14 carry-out) increased further, following upward adjustments in Argentina, the US and China.

Crop Monitor*

Crop Monitor is developed for AMIS by GEOGLAM. It summarizes latest conditions (as of November 28th) for AMIS crops based on regional expertise and analysis of satellite data, ground observations, and meteorological data.*

Wheat: Overall prospects are good for the ending season in the northern hemisphere. Spring wheat harvest is complete and winter wheat is in early development stages. In **Russia, Kazakhstan** and **Canada** harvest is complete with overall production up from last year. In **Ukraine**, warmer than usual temperatures and favourable soil moisture conditions are benefitting the emerging crop and in **Russia** topsoil moisture is generally adequate. In both Russia and Ukraine sown area is down. In the **US** winter wheat is nearly all emerged and over 60% is in good to excellent condition. In the **EU**, parts of western and central areas experienced excessively wet conditions, but overall this did not significantly hamper winter wheat sowing. The crop emerged and early establishment benefited from warm temperatures. In **China** overall conditions are good for winter wheat establishment and rainfall in major growing regions boosted soil moisture. In **India** early season conditions are positive owing to favourable soil moisture conditions after the monsoon season. In **Mexico** planting has begun and, based on water availability, it is expected that sown area will increase in the northwest and western regions. In the southern hemisphere conditions are favourable. In **Australia** overall winter wheat prospects are currently above the five-year average, despite variable growing conditions. If realized, the production forecast for the 2013/14 winter wheat would represent Australia's third largest wheat crop on record. Harvest is well under way with isolated delays due to rainfall. The northern parts of the eastern growing region remain the main area of concern. In **Argentina** growing conditions are mostly favourable and harvest is ongoing in the northern provinces where yields are average to below average. In **South Africa**, overall prospects are above-average. Conditions in the winter rainfall area deteriorated due to heavy November rain, affecting the quality, however yield is still above average.

Maize: In the northern hemisphere, prospects are very good. In the **US**, harvest is nearly complete. Late season conditions were favourable overall and expected yields have increased slightly. The total production in the US is expected to be a record. In **Canada**, harvest is complete and production is above average. In **Russia, Ukraine** and **India**, prospects are above average and reported maize yield are up significantly in both Ukraine and Russia, with harvest almost complete. In **China**, a bumper crop is projected owing to increases in area and yield. In **Mexico**, prospects are good although, in some areas, excess moisture could delay harvest. In **Argentina**, planting of the first crop is progressing, though was interrupted in several areas due to lack of soil moisture. In **Brazil**, the first crop planting started in October and will continue until December. The crop is in early development and planted area is reduced in favour of soybeans. In the southern regions, weather has been favourable, but in the central-western region rainfall has been sparse and therefore planting is delayed.

Rice: Overall conditions are favourable. In **Bangladesh** and **India** prospects are good. In **Thailand**, rice has mostly been harvested in northern growing regions and yields are slightly higher than last year, but there was some damage due to flooding in north-eastern and central regions. In **Indonesia**, overall conditions are favourable. Rice is in the early vegetative to reproductive stages with favourable November rainfall. In **Vietnam**, production in central and northern coastal regions could be reduced due to excess moisture from Typhoon Haiyan. In the **Philippines**, rice prospects may be negatively affected where Typhoon Haiyan hit due to flooding, high tide and salt water contamination. However damage is expected to be limited, as most of the crop was harvested. In **China**, harvest of late rice is complete.

Soybeans: In the northern hemisphere, harvest is complete and overall production projections indicate above average production. In the **US**, late season conditions were favourable, improving expected yield levels. Total US production will be large, but not quite a record. In **China**, harvest is complete and average yields are expected. However due to the decrease in planted area, overall production is down slightly from last year. In the southern hemisphere, the season has commenced and early conditions are favourable. In **India**, soy conditions are generally favourable, however a slight decrease in production is expected. In **Brazil**, soy planting is in progress and planted area is expected to increase largely at the expense of maize. In the southern regions, weather has been favourable, but in the central-western region, planting has been delayed due to insufficient rainfall. In **Argentina**, soy planting is progressing and catching up to last year's rates, with over half of the crop planted. Overall conditions are good in the primary production areas, supporting the emerging crop.

* GEOGLAM aims at strengthening global agricultural monitoring by improving the use of satellite information for crop production forecasting. It is implemented within the framework of the inter-ministerial Group on Earth Observations (GEO). Both GEOGLAM and AMIS were endorsed by the G20 Heads of States Declaration (Cannes, November 2011) when GEOGLAM was tasked to "coordinate satellite monitoring observation systems in different regions of the world in order to enhance crop production projections and weather forecasting data." Within this framework, GEOGLAM is providing global crop outlook assessments in support of AMIS market monitoring activities. More detailed information on the GEOGLAM crop assessments is available on: www.geoglam-crop-monitor.org

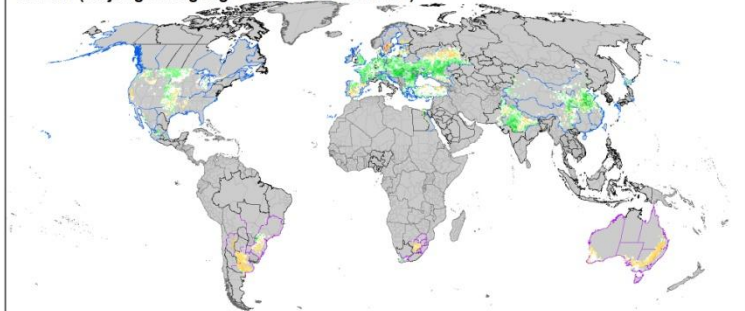
Satellite-Based Vegetative Growth Anomalies

Based on Normalized Difference Vegetation Index (NDVI)

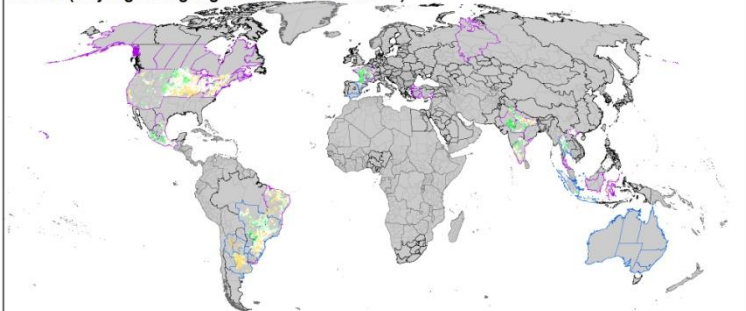
NDVI is an indicator of photosynthesis often used for monitoring croplands. These anomaly images compare the NDVI for November 28th, 2013 to the average NDVI for the same date from 2000-2012, over the main growing regions of the four AMIS crops. Orange to red indicates less green vegetation than average, green indicates higher than average vegetation. Administrative unit outline colours indicate crop growth stage: **Blue = Planting to early vegetative**, **Red = Vegetative to reproductive** (generally the most sensitive crop growth period), **Purple = Reproductive to maturity**, **Black = Areas out of season**. Note: only AMIS countries are highlighted.



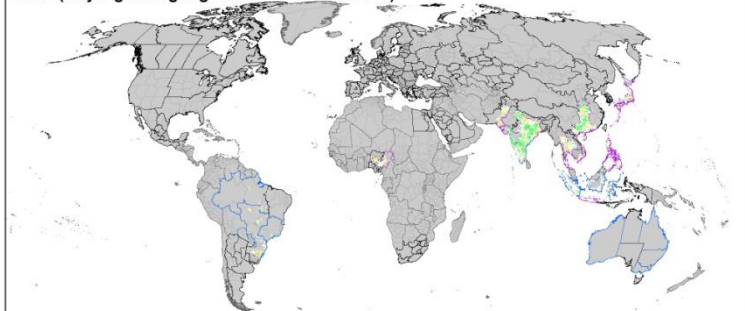
WHEAT (major growing regions in AMIS Countries)



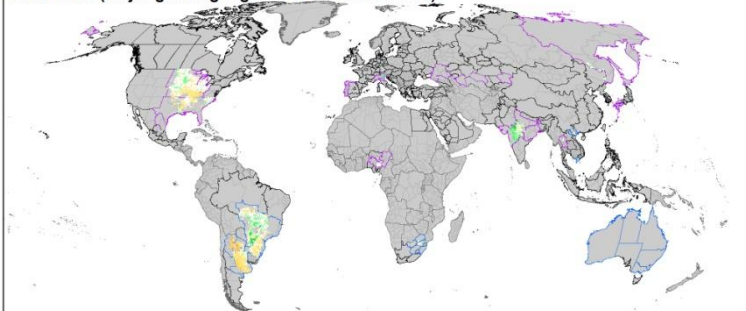
MAIZE (major growing regions in AMIS Countries)



RICE (major growing regions in AMIS Countries)



SOYBEAN (major growing regions in AMIS Countries)



Legend



Sources & Disclaimer

The Crop Monitor assessment has been conducted by GEOGLAM with inputs from the following partners (in alphabetical order): AAFC (Canada), CAS CropWatch (China), ARC (South Africa), ABARES/DA/CSIRO (Australia), CONAB/INPE (Brazil), GISTDA (Thailand), EC JRC-MARS, FAO, ISRO (India), JAXA (Japan), ASIA RiCE, IKI (Russia), INTA (Argentina), IRRI, LAPAN/MOA (Indonesia), Mexico (SiAP), NASA, UMD, and USDA FAS/ USDA NASS (US), Ukraine Hydromet Center/NASU-NSAU (Ukraine), VAST/VIMHE (Vietnam).

The findings and conclusions found in this joint multiple-agency reporting are only consensual statements from the GEOGLAM expert group, and do not necessarily reflect those of the individual Agencies represented by these experts.

Map data sources: Main crop type areas based on the IFPRI/IIASA SPAM 2005 beta release (2013). Crop calendars based on FAO and USDA crop calendars. NDVI anomaly data produced by NASA/USDA/UMD based on NASA MODIS data.

International Prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) - November 2013

	November 2013 Average*	% Change	
		M/M	Y/Y
GOI	258	+ 0.1%	- 14.3%
Wheat	240	- 2.0%	- 17.1%
Maize	217	+ 1.3%	- 31.8%
Rice	183	+ 0.3%	- 15.2%
Soybeans	270	+ 1.0%	- 5.3%

*Jan 2000=100, derived from daily export quotations

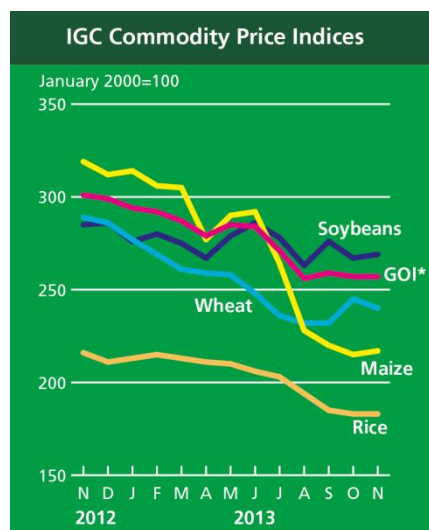
The November average of the IGC daily **Grains and Oilseeds Index (GOI)** was virtually unchanged from the previous month as declines in wheat exceeded modest gains for maize, rice and soybeans. Overall, the GOI was down 14% y/y, led by a 32% fall in maize.

Wheat: Declines in wheat prices were led by the US, with signs of slowing export demand and mostly favourable conditions for the next crop. Downside was limited by disappointing results from the early stages of the harvests in Argentina and Australia, including in terms of quality. This added to worries about tightening global availabilities of premium milling wheats. With export supplies now thought to be limited in the Black Sea region, prospects for sustained strong sales helped to underpin values in the EU. The IGC GOI wheat sub-Index averaged 2% lower m/m.

Maize: The IGC GOI maize sub-Index averaged around 1% higher m/m, as increases in the US and Brazil more than offset lower quotations in Argentina and the Black Sea. Values remained close to three-year lows and were down by around one-third y/y.

Rice: The IGC GOI rice sub-Index was broadly steady over the month, although markets were again mixed across the major origins. Values in Thailand eased further, pressured by limited export interest and the approaching main crop harvest. After initially falling on slower demand from China, fob quotations in Vietnam edged higher during the month on prospects for exports to the Philippines, with a large sale eventually confirmed on 28 November.

Soybeans: Markets fell in early November on seasonal US harvest pressure and improved planting conditions in South America. However, losses were more than reversed by firm demand, with support (at times) from gains in soybean product and vegetable oil markets. The IGC GOI soybean sub-Index was about 1% higher m/m on average in November.



		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2012	November	300.6	289.3	318.9	216.3	284.7
	December	298.7	285.6	312.2	211.1	286.1
2013	January	293.6	277.4	313.8	212.6	276.1
	February	292.1	268.6	305.8	214.6	279.6
	March	287.1	261.3	304.8	212.8	274.9
	April	278.6	258.8	277.1	211.4	267.4
	May	285.1	258.3	289.6	210.1	278.9
	June	284.4	248.0	292.3	206.3	286.2
	July	271.3	236.0	264.3	202.7	277.9
	August	256.0	232.3	228.0	193.8	262.9
	September	259.2	231.8	220.1	185.1	275.9
	October	257.2	244.5	214.5	182.9	266.9
	November	257.3	239.7	217.4	183.4	269.1

*GOI: Grains and Oilseeds Index

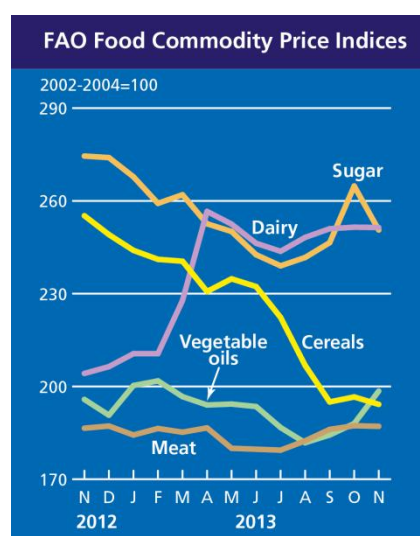
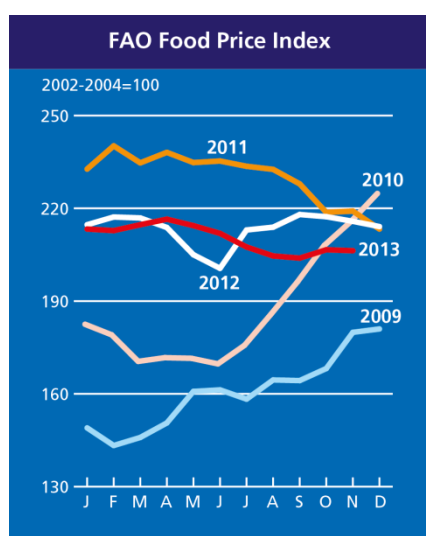
Selected Export Prices and Price Indices

Daily quotations of selected export prices (USD/tonne, 2011-2013)



Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	02-Dec	315	315	326	368	-0.2%	-14.5%
Maize (US No. 2, Yellow)	04-Dec	196	197	199	325	-0.6%	-39.8%
Rice (Thai 100% B)	03-Dec	408	410	418	560	-0.5%	-27.1%
Soybeans (US No.2, Yellow)	02-Dec	535	538	513	583	-0.5%	-8.2%



FAO food price indices

		Food Price Index	Meat	Dairy	Cereals	Oils and Fats	Sugar
(..... 2002-2004 = 100)							
2012	November	215.8	186.5	204.2	255.2	195.8	274.5
	December	214.1	187.2	206.4	249.1	190.7	274.0
2013	January	213.3	184.3	210.6	244.0	200.3	267.8
	February	212.8	186.4	210.6	241.1	201.8	259.2
	March	214.7	185.2	227.8	240.5	196.7	262.0
	April	216.5	186.6	256.6	230.7	194.0	252.6
	May	214.4	180.0	252.5	234.8	194.3	250.1
	June	211.9	179.7	246.3	232.3	193.5	242.6
	July	207.5	179.4	243.7	222.3	186.7	239.0
	August	204.6	182.4	248.2	206.8	181.8	241.7
	September	203.9	186.1	251.0	195.0	184.3	246.5
	October	206.6	187.3	251.5	196.6	188.0	264.8
	November	206.3	187.1	251.4	194.2	198.5	250.6

Policy Developments

- Adjustments to domestic measures were made in several countries. **Japan** announced its plan to phase-out of production payments to rice, starting in April 2014 and with full implementation by March 2019. Market intervention prices were increased in **India**, where the Minimum Support Price for wheat was raised by 4% to INR 1400 per quintal (225 USD/MT). **China** increased its procurement price for maize by 6% to CNY 2220 (USD 367), the procurement price for soybeans was announced at CNY 4 600 (USD 760). A subsidy of CNY 140/t (USD 23) will be paid to japonica rice and maize in the Northeast producing regions. In **Indonesia**, higher mandatory biodiesel blending rates (from 7.5 to 10%) for fuel have come into effect. The public stockholding system in the **Republic of Korea**, currently covering rice, was extended to include soybeans and wheat as from 2014. Specific details will be reported in future editions of the Market Monitor as they become available. **Russia** continued intervention purchases of grains, **China** sold wheat from state reserves and **Thailand** continued to release rice from public stocks through auctions and government-to-government purchases.
- Trade relaxing measures were taken in **Brazil** where the quota for tariff-free wheat imports from non-Mercosur countries was raised by 18% to 3.3 million tonnes. **India** cut its export floor price for wheat by 13%, to USD 260 per tonne.
- **Egypt** reinstated the newly suspended ban on exports of rice that had been in place and revoked export licenses awarded. The **European Union** introduced definitive anti-dumping duties on imports of biodiesel from Argentina and Indonesia. The antidumping measures consist of an additional duty of on average 24.6% for Argentina and 18.9% for Indonesia.

Futures Markets

Futures Prices

	% Change		
	November 2013 Average	M/M	Y/Y
Wheat	239	-5.6%	-24.4%
Maize	166	-3.7%	-42.9%
Rice	346	+3.3%	+5.6%
Soybeans	474	+0.9%	-10.4%

Source: CME

Historical Volatility – 30 Days

	Monthly Averages		
	November 2013	October 2013	November 2012
Wheat (Nearby)	12.9%	15.3%	15.5%
Maize (Dec)	16.0%	19.8%	15.8%
Rice (Nearby)	16.6%	21.6%	17.2%
Soybeans (Jan)	15.5%	18.7%	13.7%

Prices

The US Futures for wheat and maize declined slightly in November but soybeans and rice were generally unchanged. Wheat prices maintained a strong premium to maize – the USDA reported accumulated exports and outstanding commitments for all wheat classes for current marketing season of 22m MT, a 37% increase over last year. The maize market, despite export commitments showing a 250% increase (18m MT vs. 7m MT) over the previous year's drought-stricken tight supply situation, is facing a lower demand from the ethanol industry. This follows the Environmental Protection Agency (EPA) lowering of its mandate for 2014 from 18m gallons to 15m gallons. Soybeans, were supported by high interior basis levels, reflecting strong soybean export and crush demand, as well as producer holding.

Volatility

Historical Volatility, as a reflection of US crop certainty, registered subdued levels in the mid-teens for all four crops.

Volumes

Compared with October average daily volumes for November were significantly higher for maize and wheat, and lower for soybeans. There were no appreciable open interest changes nor price changes to account for changes in m/m volumes.

Forward curves

Forward curves did not reflect any significant change from the previous month. However, the November 13 vs. January 14 soybean spread, which normally reflects a wide carrying charge (contango) to signify ample harvest supply, displayed an unusual USD 6/MT inversion (backwardation) during the November expiration in response to high cash values, as farmers withheld supplies from the market, choosing to store rather than sell new crop.

Investment flows

Managed money did not show any aggressive trading – it added slightly to wheat net short and soybean net long positions, while reducing marginally its net short in maize. Index funds decreased their net long positions in wheat and maize. The Commodity Futures Trading Commission (CFTC) now publishes a “swaps report” to reflect OTC swaps transactions but so far reports commodities swaps without providing individual sector statistics. The CFTC reports notional amount of outstanding commodities swaps is USD 1,700 billion, which is less than the amount of USD 2,700 billion reported by the Bank for International Settlements, which reports on global transaction data.

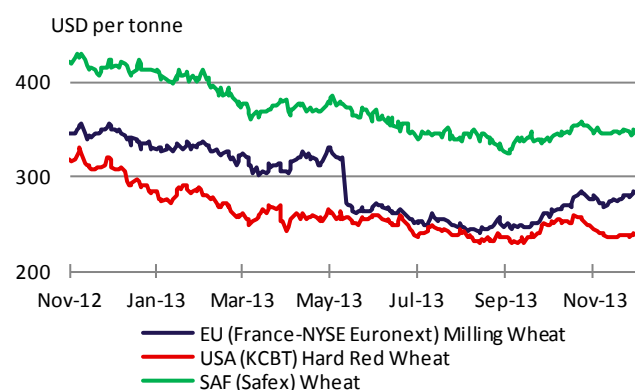
For more information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

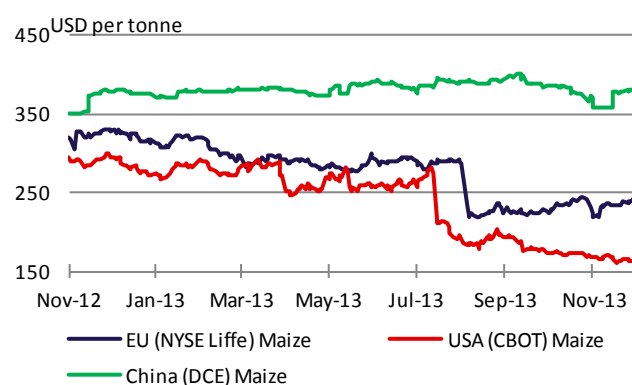
Market Indicators

Daily Quotations from Leading Exchanges - nearby futures

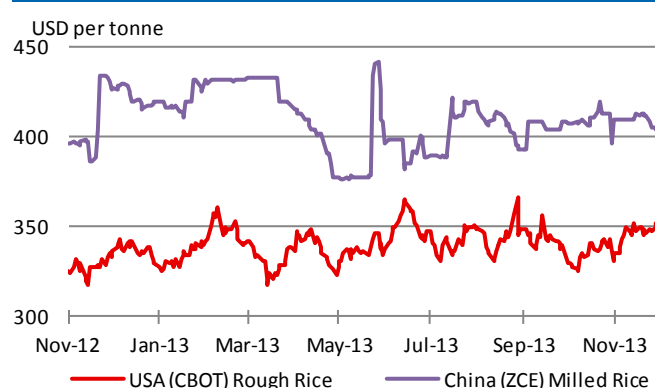
Wheat



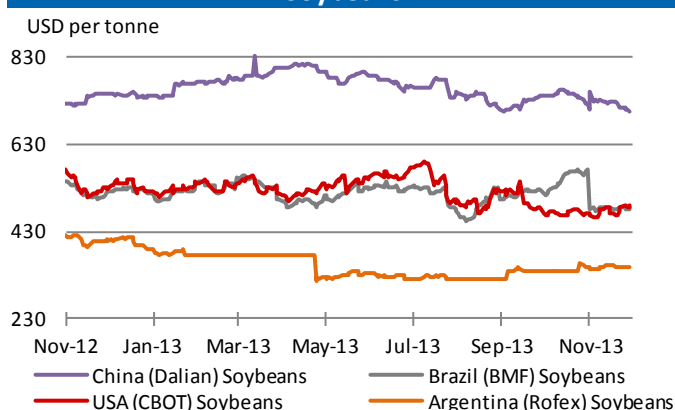
Maize



Rice

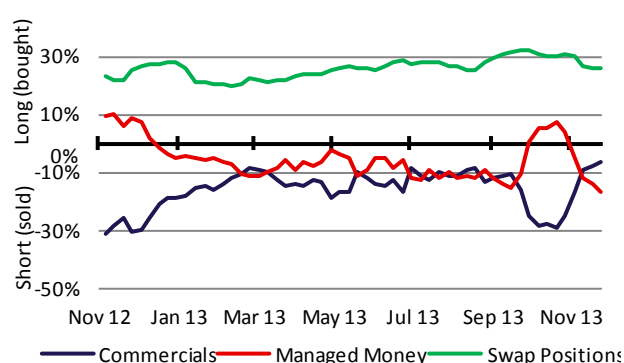


Soybeans

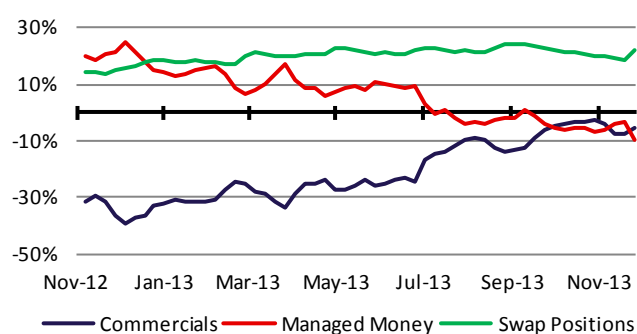


CFTC Commitment of Traders - Major Categories Net Length as % of Open Interest**

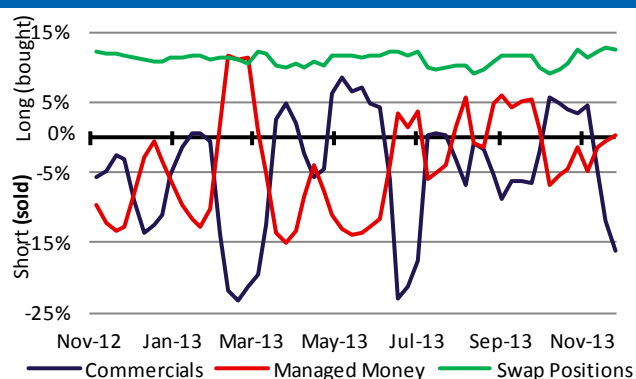
Wheat



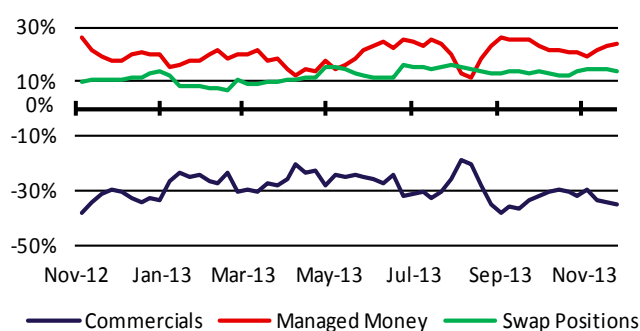
Maize



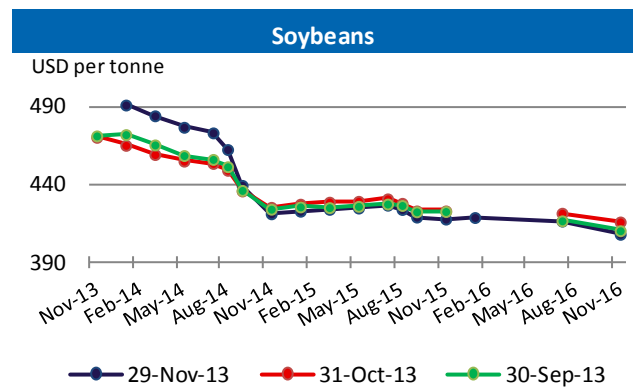
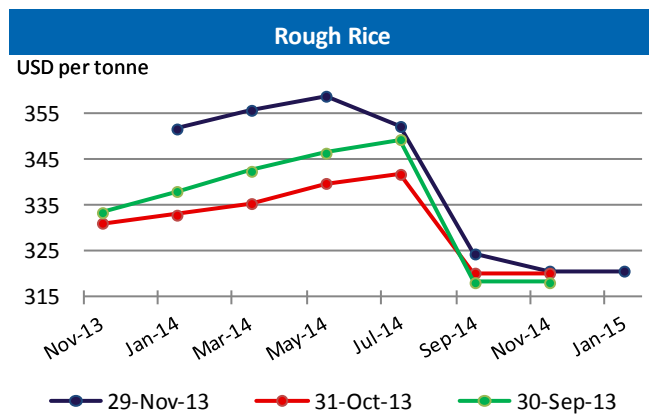
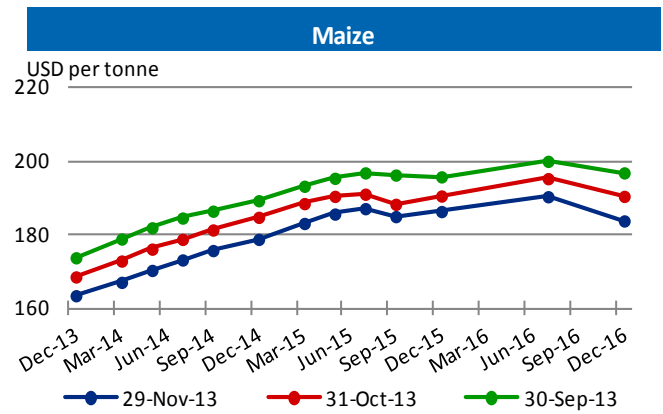
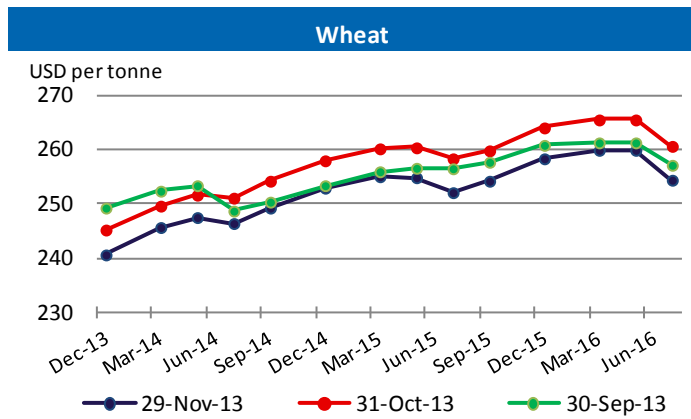
Rough Rice



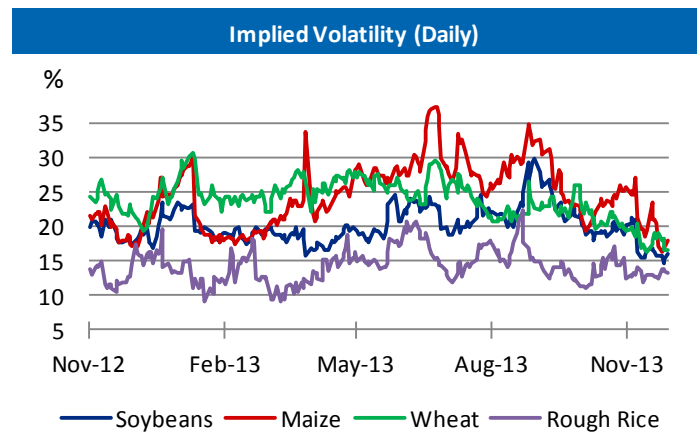
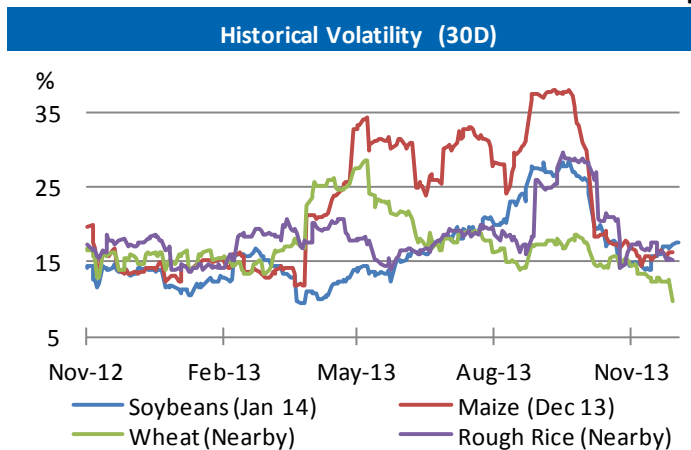
Soybeans



Forward Curves



Historical and Implied Volatilities



AMIS Market Indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

Explanatory Notes and Calendar

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts published in this report are based on the latest data published by USDA, IGC and FAO. They may vary for many reasons, but mainly because of different methodologies and release dates.

FAO-AMIS: World estimates and forecasts are based on information received from AMIS countries as well as FAO data.

Dates: Refer to the release date of the data from the selected sources: FAO, IGC, and USDA.

Production: Cereal production data refer to the calendar year of the first year shown. Rice production is expressed in milled terms. Soybeans production data refer to the split (i.e. 2013/14) season.

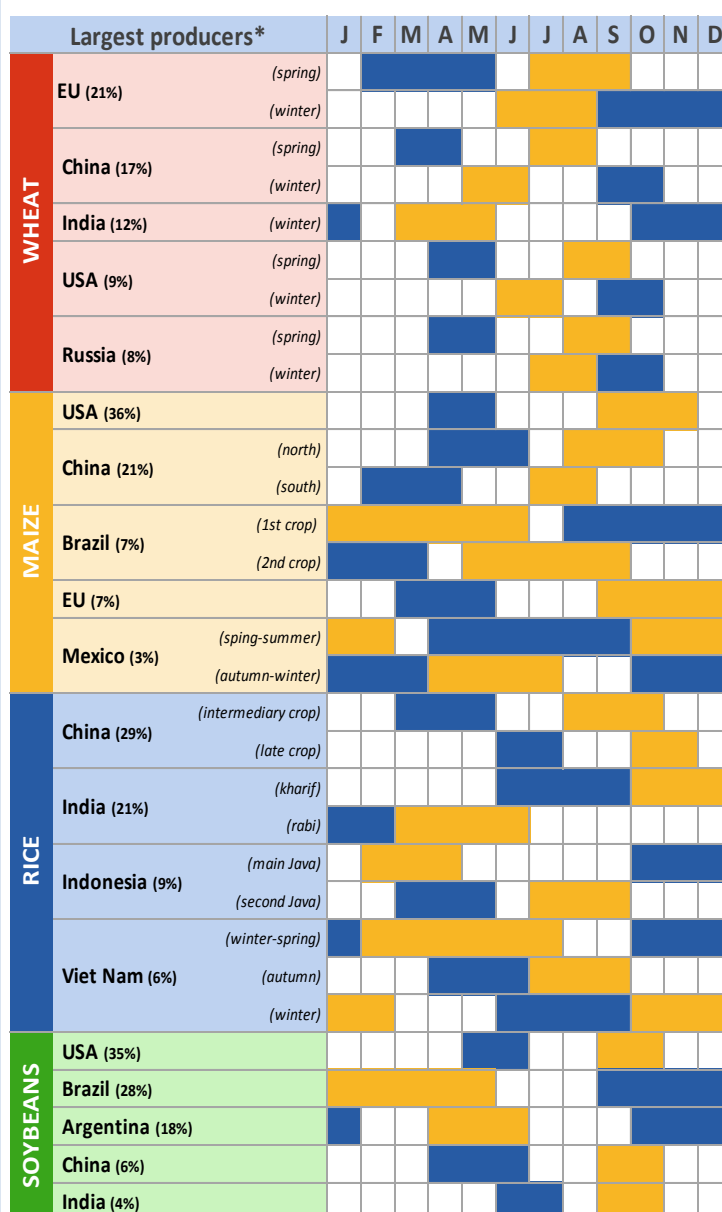
Supply: Defined as production plus opening stocks.

Utilization: For wheat, maize and rice utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown and for soybeans from October to September. Trade between European Union member states is excluded.

Ending Stocks: Data is calculated as the aggregate of carry-overs at the close of national crop seasons ending in the year shown.

AMIS Crop Calendar



* The percentages refer to the global share of production (average 2008-12).

Planting Harvesting

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, USDA, US Federal Reserve, World Bank

2014 Release Dates

06 February, 06 March, 03 April, 08 May, 05 June, 03 July, 11 September, 09 October, 06 November, 04 December

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